

BB853 Contemporary Issues in Organisations

Weekly Summaries

Module Overview

Plain text view

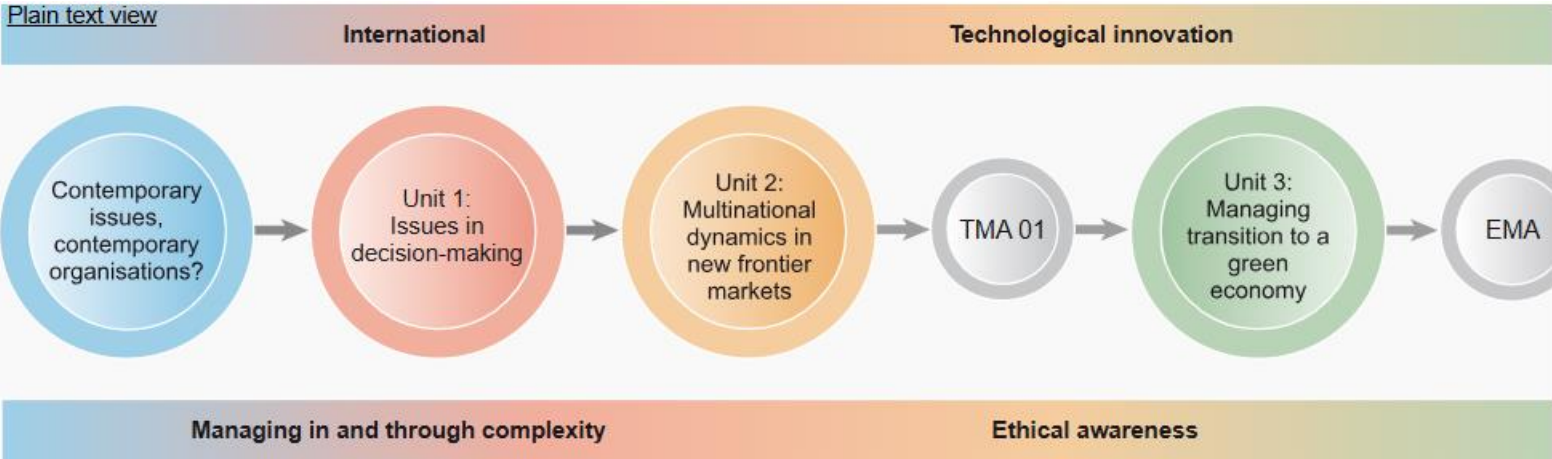


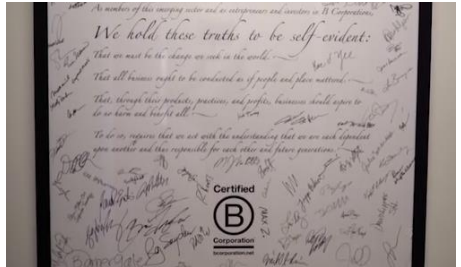
Table 2 Activity icons

Icon	Description
	Read extract/article
	Activity that may include audio/video
	Skills-related activity
	Reflection
	Discussion, such as a forum or in-page debate
	Assessment
	Watch video(s)
	Online activity (visiting an external website, research or reading)
	Student polls
	StudentQuiz (peer-quizzing tool)

Session 1: Developing as a leader of change in a complex world

Module Themes

- **International** – The ways in which organisations have increasingly global dimensions. Organisations sit within global relations of power and the actions of organisations can have major global effects.
- **Technological innovation** – Machines are increasingly doing work that humans used to do themselves. Technology has also meant that work can be intensified – in terms of the speed and reach of communication but also the quality and quantity of products and services that can be produced.
- **Managing in and through complexity** – Decisions made in one place may have unknown, unintended and deeply disruptive effects in other places. Global spaces become ever more codependent.
- **Ethical awareness** – Both international connection and technological innovation create new ethical issues and considerations, over ever greater spatial distances.



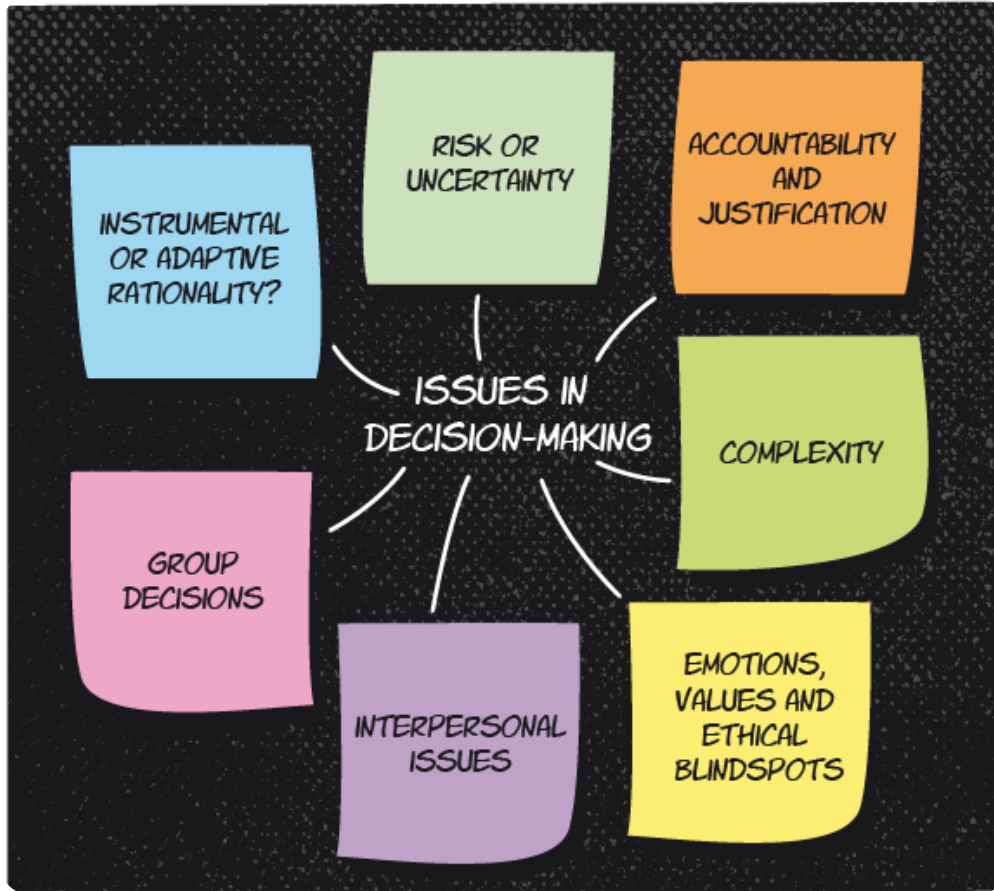
Doreen Massey

"Inequality of Voice"



Americas occupy 5% of world's population and consume 30% of world's resources

Unit 1 Issues in decision-making



- **Learning outcomes**

- At the end of this unit you will be able to:
- demonstrate awareness of your own cognitive processes, values and emotions when making personal and professional decisions
- identify and explain when and how heuristics may be helpful and harmful in decision-making, both in theory as well as in your own practice
- describe and explain different ‘rational choice’ and ‘behavioural’ theoretical perspectives on decision-making in conditions of risk and uncertainty, and some of their uses and limitations in your own practice
- explain the ideas of behavioural ethics and how understanding their implications for decision-making may prevent business decisions leading to unethical, irresponsible or even criminal behaviour
- make decisions involving multiple criteria using compensatory and non-compensatory approaches and justify your choice to stakeholders.

Rational Choice Paradigm

Behaviour Paradigm

Behavioural Ethics in Decision Making

Complex Decisions

Week 2, Unit 1, Session 1: Introduction to decision-making

The steps of a purposeful decision process

- 1. Identify the decision-maker.
- 2. Identify the aim.
- 3. Identify the acts (i.e. the actions available to the decision-maker).
- 4. Determine the states of nature (including probabilities, where applicable).
- 5. Determine the expected outcomes of each action.
- 6. Determine the relevant attributes or criteria for judging the outcomes.
- 7. Determine the preferences by weighting the attributes or criteria.
- 8. Choose a course of action based on a judgement.
- 9. Evaluate the outcome of the decision.

Decision problem elements

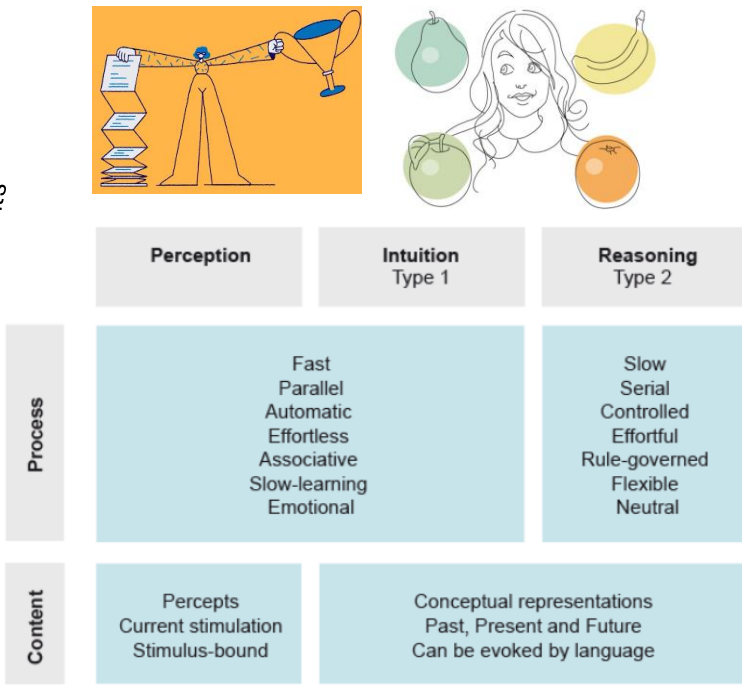


Figure 1.4 Three cognitive systems (adapted from Kahneman, 2003, p. 1451)

ACTS	STATES OF NATURE		
	State 1	State 2	State 3
Act 1	Expected outcome of act 1 in state 1	Expected outcome of act 1 in state 2	Expected outcome of act 1 in state 3
Act 2	Expected outcome of act 2 in state 1	Expected outcome of act 2 in state 2	Expected outcome of act 2 in state 3

	Known problem/situation	Unknown problem/situation
Known solution/s	Requires: decision-making (choosing between options); may also require problem-solving	Requires: insight
Unknown solution/s	Requires: problem-solving	Requires: creative problem-solving

Figure 1.3 Problem-solution matrix (Lindridge et al., 2011, p. 310)

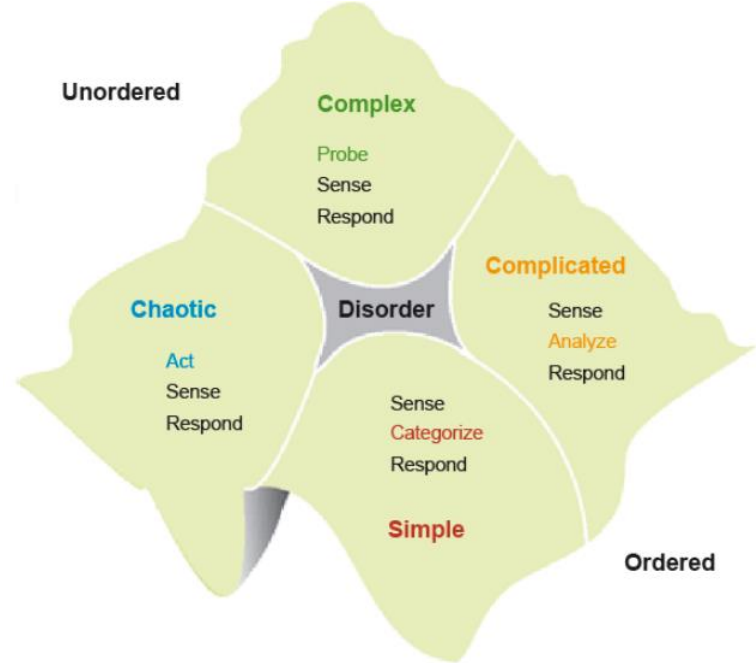
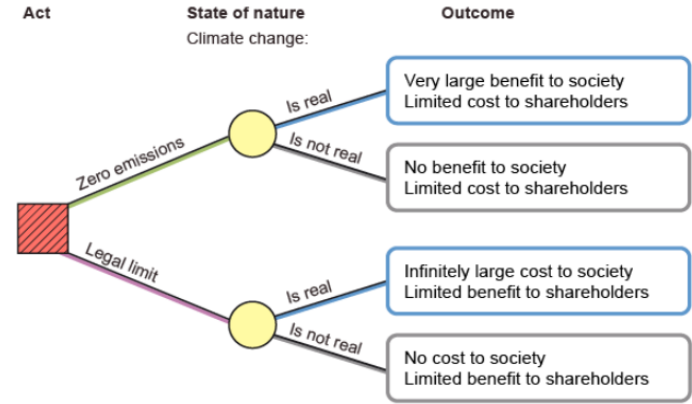


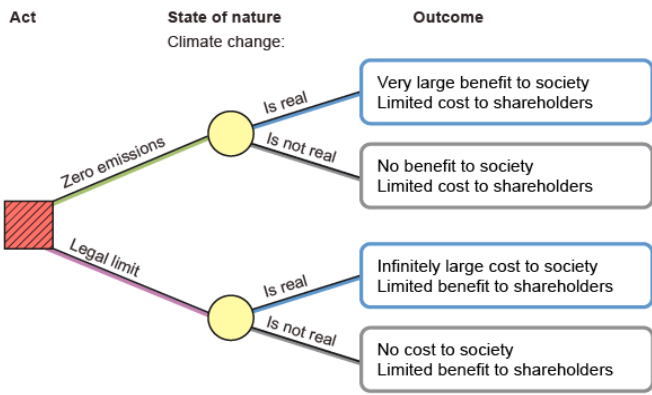
Figure 1.2 The Cynefin framework (Snowden and Boone, 2007)

Week 2, Unit 1, Session 1: Introduction to decision-making

N o.	Step	Application to decision
1	Decision-maker	April
2	Aim	To enjoy a coffee at a local café and write a page of the book
3	Alternative actions	Go to Café A or Café B
4	States of nature	Crowded or not crowded
5	Expected outcomes	80% chance that Café A is not crowded (coffee and writing in peace) 70% chance that Café B is not crowded (coffee and writing in peace) 20% chance that Café A is crowded (coffee but no writing) 30% chance that Café B is crowded (coffee but no writing)
6	Criteria	Main criterion: the café is quiet, so April can write
7	Preferences/w eights	The highest chance of writing in peace while enjoying a coffee
8	Judgement/ch oice	Not yet known
9	Evaluating the outcome	Not yet known

A decision analyst would help April to specify ‘quiet’ and ‘not quiet’ as the states of nature and ask April to estimate the probabilities of the cafés being quiet or not.

ACTS	STATES OF NATURE	
	Human-made climate change is real	Human-made climate change is not real
Reduce CO ₂ emissions to net zero	Expected outcome Very large benefit to society: achieved net zero carbon emissions and contributed to society by mitigating climate change. Limited cost to shareholders: received lower dividends for five years.	Expected outcome No benefit to society: net zero carbon emissions did not mitigate climate change. Limited cost to shareholders: receive lower dividends for five years.
Reduce CO ₂ emissions only as much as required by law	Expected outcome Infinitely large cost to society: damage and regret. Should have done as much as possible to mitigate climate change. Limited benefit to shareholders: received normal dividends for five years.	Expected outcome No cost to society: legal reduction in carbon emissions did nothing to mitigate climate change. Limited benefit to shareholders: received normal dividends for five years.



Characteristics of complex decisions

- The decision problem involves multiple objectives and, therefore, multiple criteria.
- The problem involves uncertainty.
- The problem structure may be characterised by several sequential decisions, which are contingent upon one another.
- The decision may involve multiple stakeholders with conflicting interests.
- The decision may need to be communicated and justified to regulatory authorities, shareholders, bosses, the public or oneself.

Week 3, Unit 1, Session 2: The rational choice paradigm

Box 2.1 The three families of theories within the rational choice paradigm

- Rational individual choice under certainty, risk and uncertainty.
- Game theory (interactive choice).
- The theory of public choice (collective choice).

So the key idea is:

- ➡ Rational choice theory is less about *why* someone chooses (their motives or awareness) and more about the *internal logical consistency* of their choices.
- ➡ If that consistency breaks down, the theory itself can't operate properly.

Players	Individual Rational Choice			
	Moves	Testify	Don't testify	Totals for Alice
Alice	Testify	Alice 3, Tom 3 (= 6)	Alice 0, Tom 8 (= 8)	Alice 3
	Don't testify	Alice 8, Tom 0 (= 8)	Alice 1, Tom 1 (= 2)	Alice 9
Totals for Tom		Tom 3	Tom 9	Collective Rational Choice

Table 2.18 To pollute or not to pollute?

	The other companies pollute	The other companies do not
My company pollutes	Large profit and dirty river	Large profit and cleaner river
It does not	Small profit and still a dirty river	Small profit and clean river

Box 2.2 Axioms for maximising utility under certainty

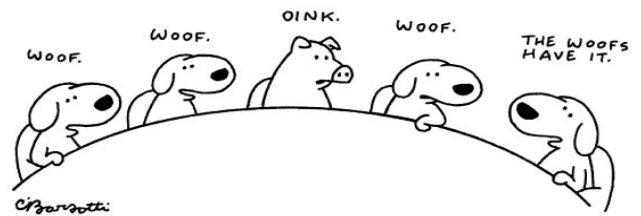
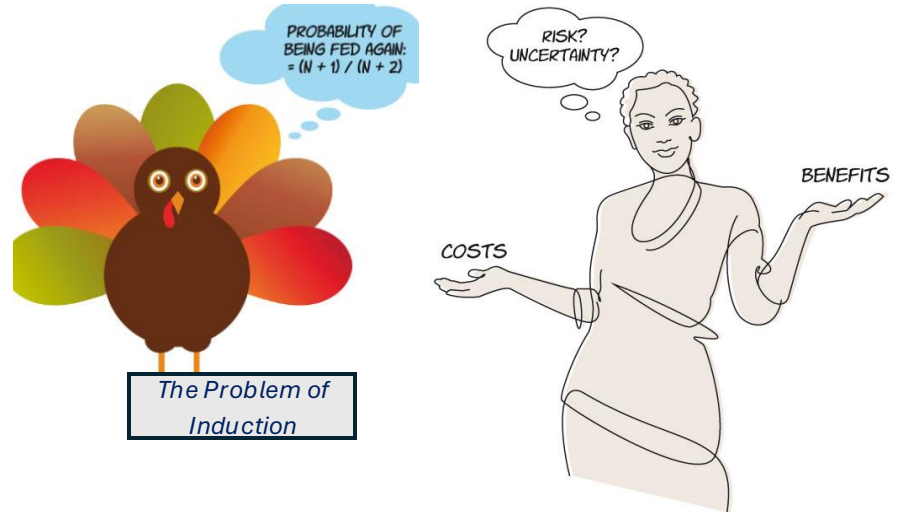
Szpiro (2020, pp. 130–131) describes the completeness and transitivity axioms as follows.

- **Completeness of preferences:** For any two events, A and B, one either prefers A to B or B to A, or is indifferent between the two. (In mathematical notation: either $A > B$ or $B > A$, or $A = B$.)
- **Transitivity of preferences:** If A is preferred to B, and B to C, then A is preferred to C. (In mathematical notation: $A > B > C \Rightarrow A > C$.)

Box 2.7 The four conditions for a social welfare function

1. **Non-dictatorship** means that no single individual or small group is decisive.
2. Ordering means that 'for every combination of individual preference orderings, the social preference ordering must be complete, asymmetric and transitive' (Peterson, 2017, p. 292).
3. The **Pareto condition** means that if everyone in a collective ranks one alternative higher than another alternative, then the collective must rank those two alternatives in the same way.
4. **Independence of irrelevant alternatives** means that the collective ranking of two alternatives must depend only on the individual preferences over those two alternatives. The ranking of options A and B must not depend on how alternative C is ranked by the individuals.

Scoring	Sunny	Cloudy but dry	Rainy	Total scores
a1 Abseiling	Good day (3)	Decent day (2)	Dangerous (1)	6
a2 Planting baby trees	Good day (3)	Decent day (2)	Decent day (2)	7
a3 Pottery workshop	Decent day (2)	Decent day (2)	Good day (3)	7
Expected Values	Sunny 0.33	Cloudy but dry 0.33	Rainy 0.33	Expected value
a1 Abseiling	$3 \times 0.33 = 1$	$2 \times 0.33 = 0.66$	$1 \times 0.33 = 0.33$	1.99
a2 Planting baby trees	$3 \times 0.33 = 1$	$2 \times 0.33 = 0.66$	$2 \times 0.33 = 0.66$	2.32
a3 Pottery workshop	$2 \times 0.33 = 0.66$	$2 \times 0.33 = 0.66$	$3 \times 0.33 = 1$	2.32



The law of large numbers holds that when we observe a sample of independently and identically distributed (i.i.d.) random variables, their average converges to the probability of the event (Gilboa, 2009, p. 20) as the sample size increases.

Week 4, Unit 1, Session 3: The behavioural paradigm

The three schools of thought within the behavioural paradigm

- Heuristics and behavioural biases.
- Fast and frugal heuristics.
- Behavioural ethics.

Herbert Simon's idea of bounded rationality.

- Physical and psychological characteristics limit people's calculation and prediction abilities required for optimisation. People are rational, but boundedly so (Simon, 1955).
- In practice, people often are satisficers (seeking satisfactory solutions) rather than optimisers (seeking optimal solutions).
- On the behavioural paradigm, rationality 'is adaptive, but not necessarily optimizing' (Simon, 1983, p. 41).

Following a logic of appropriateness, the decision-maker must:

- recognise the situation or context of the decision
- recognise, or decide on, their identity in this particular context
- decide on 'what does a person such as I, or an organization such as this, do in a situation such as this?' (March, 1994, p. 58).

The four main elements of prospect theory

- Reaction to changes rather than absolute levels.
- Reference dependence.
- Gain-loss asymmetry.
- Probability weighting.

The four main predictions of decision-makers' behaviour

1. People will be risk seeking when there is a low probability of gains from the reference point.
2. People will be risk seeking when there is a high probability of losses.
3. People will be risk averse when there is a high probability of gains.
4. People will be risk averse when losses from the reference point have a low probability.

(Goodwin and Wright, 2014, p. 371)

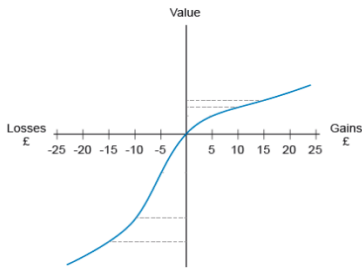


Figure 3.10 Shape of a hypothetical value function in prospect theory

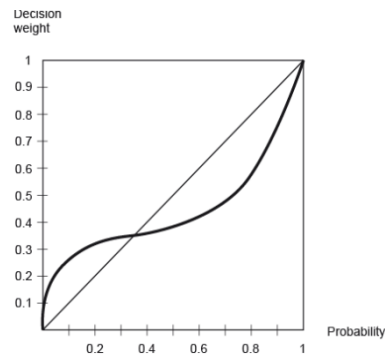
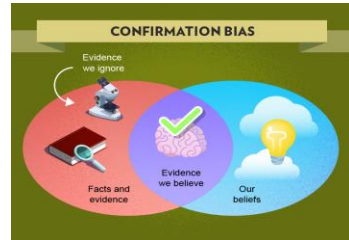
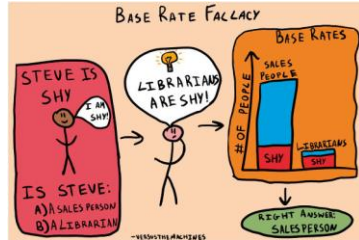
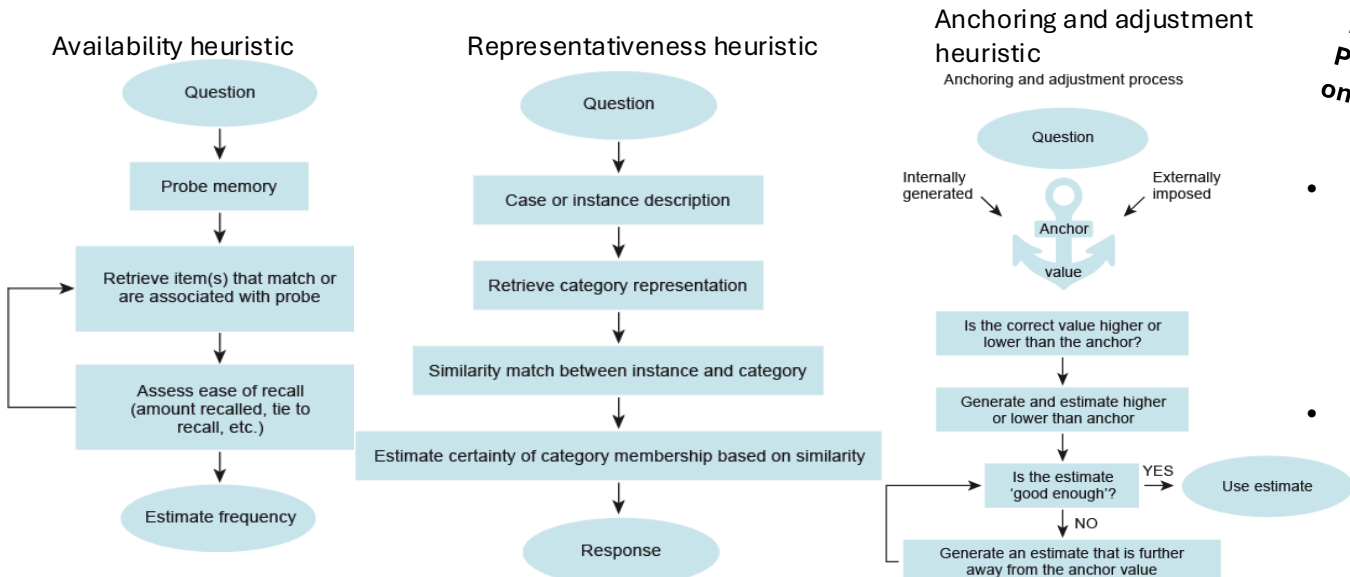


Figure 3.11 Distorted probability weighting function

- Availability heuristic and bias
- Representativeness heuristic and bias
- Anchoring and adjustment heuristic and bias
- Framing heuristic and bias

- Overconfidence bias
- Affect bias
- Confirmation bias

Heuristics are simple rules or mental shortcuts that people use to make quick decisions or solve problems without needing to think through every detail.



The fast and frugal heuristics school emphasises the ecological rationality and social rationality of adaptive behaviour and heuristics in real-world environments.

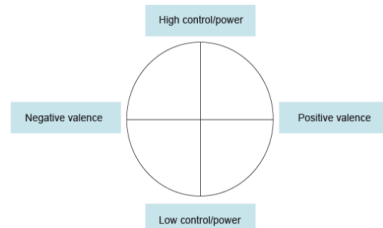


Figure 3.12 Two dimensions of emotional experience

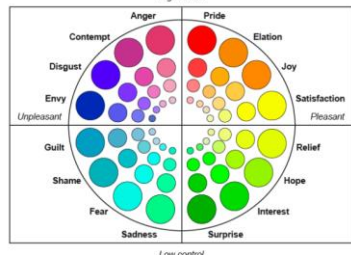


Figure 3.13 Geneva Emotion Wheel (see Scherer, 2005; Scherer et al., 2013)

Behavioural Perspectives on Rationality

- **Normative theories** describe how people *should* make decisions if they were perfectly rational (for example, expected utility theory).
- **Descriptive (behavioural) theories** describe how people *actually* make decisions in real life, acknowledging that they often rely on heuristics, emotions, and biases rather than pure logic.

'Groupthink' (Janis, 1972 and 1982) refers to a mode of thinking by members of a cohesive group that is not the result of deliberate manipulation but is instead caused by subtle constraints that prevent group members from expressing doubts.

Week 5, Unit 1, Session 4: Behavioural ethics in decision-making

Behavioural ethics investigates:

- how people behave when they are exposed to ethical dilemmas
- what psychological, cognitive, behavioural, organisational and environmental factors influence people's choices and behaviour when they are exposed to ethical dilemmas in a business context.

Bounded ethicality is the concept that limitations of human perception and cognition that limit the quality of decision-making in general also limit the quality of ethical judgments.

Ethical fading refers to the process by which individuals no longer recognise the moral components of an ethical decision.

Ethical blindness is the temporary inability of a decision-maker to see the ethical dimension of a decision at stake.

Self-deception involves creating and believing stories that allow a person to do what they want and that justify what they have done.

Ethical blind spots through rigid framing such as Friedman's (1970) approach to focus on profits.

Incrementalism, or the slippery slope of decision-making, means that small transgressions have a tendency to grow larger and may ultimately grow out of control.

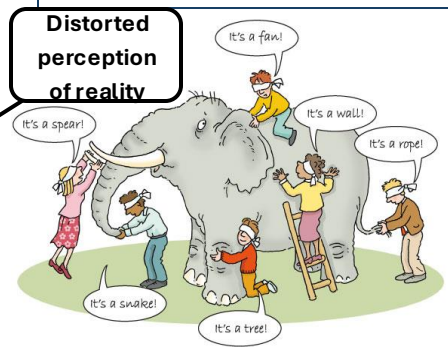
Sanitising unethical or morally questionable practices through use of language (eg let them go)

Escalating commitment is the feeling that there is no way back and one must go on beyond the point of no return.

Induction mechanism is the mechanism by which, as a result of small incremental steps, unethical behaviour is normalised and no longer recognised as unethical.

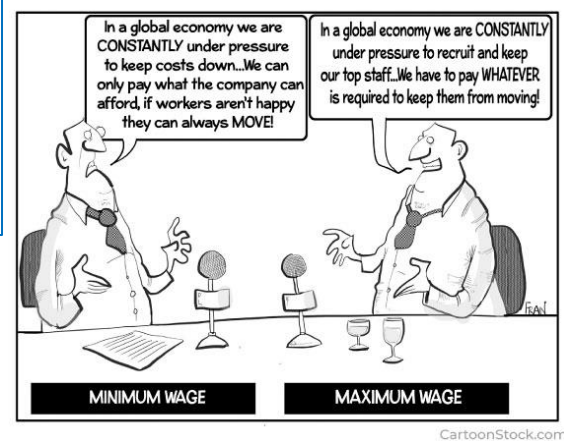
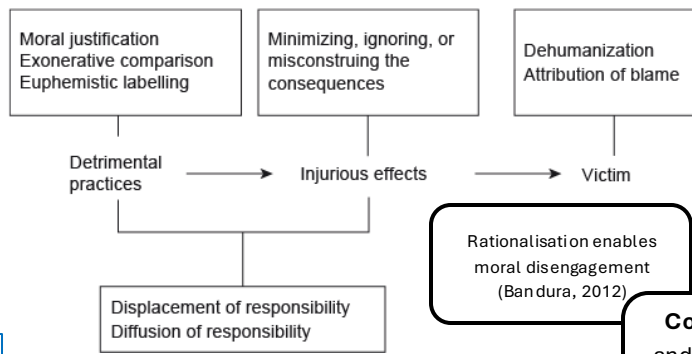
Strategies to defend against ethical blindness

1. Recognise your vulnerability – Accept that your judgement can be biased and influenced by pressures.
2. Know your values and yourself – Be clear on your values so they guide you, not your environment.
3. Expect ethical conflicts – Understand that dilemmas will occur, and remember you always have choices.
4. Use values-based techniques – When facing pressure, frame decisions around widely shared values.
5. Prepare for objections and rationalisations – Anticipate pushback and practise responding to ethical dilemmas calmly.
6. Overcome routine and fear – Ask what you'd choose without fear, and build financial security to support moral courage.



Cognitive dissonance is the psychological discomfort a person feels when they believe two contradictory concepts at the same time, or when they believe one thing but engage in an inconsistent action.

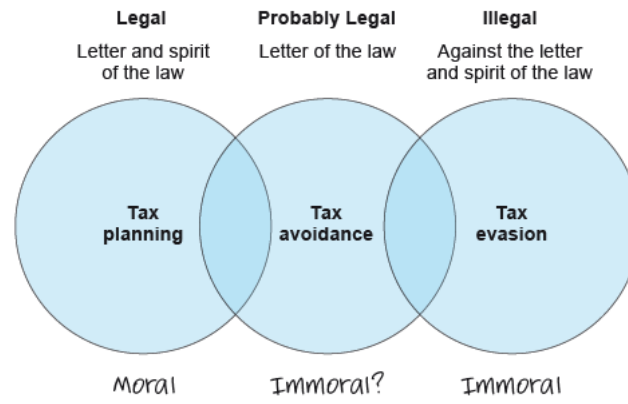
Incrementalism, or the slippery slope of decision-making, means that small transgressions have a tendency to grow larger and may ultimately grow out of control.



Good practice in organisations

- **Clear expectations:** Everyone should know what good and bad behaviour looks like, with no mixed messages.
- **Role-modelling:** Leaders who act ethically encourage employees to do the same, reducing pressure to blindly follow authority.
- **Realistic goals:** Achievable targets reduce pressure to cheat or bend the rules.
- **Mutual respect:** When people feel valued and engaged, they are more likely to act ethically.
- **Transparency:** Openness builds a culture that supports ethical decisions.
- **Open discussion:** Encouraging conversations about dilemmas and mistakes helps people learn.
- **Fair enforcement:** Reward good behaviour and correct bad behaviour, while allowing room for learning.

Contextual Pressures such as abuse of authority and peer pressure. **Organisational Pressures** such as unrealistic goals, excessive competition and winner takes all mentality.



Week 6, Unit 1, Session 5: Complex decisions

Multiple objectives require Multiple Criteria Decision-Making (MCDM)

- The list of criteria should include all the attributes of concern but exclude redundant criteria.
- The criteria should be specific enough to enable evaluation of the actions.
- The criteria should be independently assessable, and their number should be as small as possible. (Goodwin and Wright, 2014, p. 38)

Risk and uncertainty

- Scenario planning helps decision-makers to explore possible, and plausible, futures and stimulate contingent thinking.
- Contingent thinking means thinking in terms of: 'If X were to happen, then what are the things could we do?'.

One way to do scenario planning is as follows (based on French, Maule and Papamichail, 2009, p. 290–292):

- Identify the key variables in the decision.
- Identify the key stakeholders in the decision.
- Identify the key factors that may affect the consequences of the decision.
- Identify the key uncertainties.
- Construct an extremely optimistic scenario (assuming all the best outcomes) and an extremely pessimistic scenario (assuming all the worst outcomes).
- Assess the plausibility of the two scenarios in terms of the paths from the present to the envisaged futures and consider their impacts on each of the stakeholders.
- Create a more neutral, plausible and coherent scenario.

Compensatory versus non-compensatory decision strategies

Non-compensatory decision strategies in MCDM

Lexicographic decision strategies

Elimination by aspects

Compensatory decision strategies and models

Stages in the simple multi-attribute rating technique (SMART)

1. Identify the decision-maker or decision-makers.
2. Identify the alternative courses of action.
3. Identify the attributes that are relevant to the decision problem.
4. Assign values for each attribute.
5. Determine a weight for each attribute.
6. For each alternative, take a weighted average of the values assigned to that alternative.
7. Make a provisional decision.
8. Perform a sensitivity analysis to see how robust the decision is to changes in the figures supplied by the decision-maker.